Mt Weld
Rare Earths Project
Annual Report

On

Exploration WA Mining Licenses M38/58, M38/59, M38/326, M38/327, E38/2224, E38/2558 and E38/2935 Combining Reporting C56/1999

For Period

25 November 2014 to 24 November 2015

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Project Name:	Mt Weld Rare Earths Project
Combined Reporting Number:	C56/1999
Tenement Numbers:	M38/58, M38/59, M38/326, M38/327, E38/2224, E38/2558, E38/2935
Tenement Operator:	Mt Weld Mining Pty Ltd
Tenement Holders:	Mt Weld Mining Pty Ltd
Report Title:	Mt Weld Rare Earths Project Annual Report on Exploration for the period 25 November 2014 to 24 November 2015, M38/58, M38/59, M38/326, M38/327 and E38/2224, E38/2558 and E38/22935 combining reporting C56/1999
Report Period:	25 November 2014 to 24 November 2015
Author:	M. Carder
Date of Report:	21 January 2016
1:250 000 map sheet:	Laverton SH51- 12
1:100 000 map sheet:	Burtville 3440
Target Commodities:	REE, Nb, Ta, P205, Au
Prospects Drilled:	None
List of Assays:	None

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ABSTRACT

Location: The Mt Weld Project is approximately 35 kilometres south of the town of Laverton on the Laverton 1:250 000 and the Burtville 1:100 000 map sheets.

Geology: The project covers the entire Mt Weld Carbonatite. The economic rare earths mineralisation is in the weathered supergene portion of the carbonatite below a 25 metre layer of Tertiary alluvium.

Work Completed: The main geological work carried out during the reporting period involved an update to the resource and reserve of the Central Lanthanide Deposit (CLD) and Duncan Deposits (DD) to improve the modelling and bring it up to 2012 JORC code standard. A detailed desktop review and exploration program design was completed for field assessment of potential gold and minor rare earth mineralisation on the E38/2224 tenement.

Comprehensive flotation test-work continued on the different ore types in the Central Lanthanide Deposit (CLD) to improve recoveries and broaden collector supplier base. Commissioning of a heat exchanger from the floatation tailings to improve recovery in the winter months and also reduce power consumption. The reduction in generated power represents a reduction in diesel consumption of 30,000L per month. The continued research and development of the tailings management and water treatment systems focusing on reducing water usage for the project.

The construction of a new TSF facility was completed near the end of the reporting period which involved detailed management and supervision by Lynas technical staff. Commissioning and final approvals to commence discharge into the new TSF facility are expecting in January 2016.

For the reporting period the flotation plant had milled 111,227 tonnes of ore to produce 36,784 tonnes of concentrate containing 14,213 tonnes of REO.

Results: Updates of the Central Lanthanide Deposit (CLD) and Duncan Deposit (DD) resource and reserve to the 2012 JORC code standards and release to the ASX for the 2015. The updated resource and reserve confirm the current economic robustness of the deposit, especially with the historically low REO metal prices.

Flotation test work and recovery analysis completed for the updated reserve figures has highlighted that the LI and CZ ore material have similar recovery regressions. This has significantly improved mining optimisation and scheduling options with flexible blending options now available.

Conclusions: The detailed exploration design and updated survey information has highlighted that the gold anomaly in historic drilling data on E38/2224 has the potential for economic grades of Au at depth and drilling has been designed to test this potential.

The updated reserve study of the CLD and Duncan deposit has enabled simpler mining and processing strategies that have reduced stripping ratios and improved short term project economics.

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1. INTRODUCTION

This report describes the field activities on Mining Leases M38/58, M38/59, M38/326 and M38/327 and exploration tenements E38/2224, E38/2558 and E38/2935 for the annual reporting period 25 November 2014 to 24 November 2015. The report summarises geological field activities that have taken place on the mining leases and exploration tenements during the reporting period. Other work was carried out on the mining leases during the reporting period with a rare earths concentrator processing plant producing a rare earth concentrate for shipment to a cracking plant in Malaysia. The rare earths concentrator has been running on a campaign basis to match the Malaysian plant production. The operation of the rare earth concentrator was the bulk of the expenditure during the period.

No mining or drilling was carried out during the reporting period as stockpiles from the 2007-2008 mining campaign continue to provide sufficient feed to the concentrator. Extensive desktop studies were completed during the reporting period on the Central Lanthanide Deposit (CLD) including Resource and Reserve updates and future mine planning.

AMC Consultants completed a site visit and geotechnical review of the slope failure along a section of the Mt Weld open pit west wall, detailing recommended remediating and monitoring procedures prior to recommencement of future mining.

Three dewatering bores located on the western side of the Mt Weld open pit were commissioned in March 2015, extraction rates and water table movement have been monitored for future mine planning and DoW reporting purposes. AECOM Services Pty Ltd were commissioned to complete a desktop study to assess the current Granny Smith Mine (GSM) and Mt Weld Mine (MWM) water balance, in order to prioritise production bore and dewatering abstraction supplies and/or water re-use. This report was completed in December 2015 and will be included in next year's group report.

There was minimal geological work carried out during the reporting period on the group exploration licenses besides continued environmental monitoring and a detailed topographic UAV survey. The main exploration work carried out during the reporting period involved detailed exploration planning for an extension of tenement application on E38/2224 to investigate the potential for rare earth and gold mineralisation at depth beneath a gold anomaly identified from historic drilling.

2. LOCATION AND ACCESS

The Mt Weld Rare Earths Project is centred on MGA94 coordinates 456 000 E and 6 807 000 N (Zone 51), on the Laverton (SH 51- 12) 1:250 000 scale map and is approximately 35 kilometres south-east of Laverton in the Mt Margaret Mineral field.

Access is via the Elora - Mt Weld road from Laverton and at approximately 25 kilometres a gravel road has been constructed that goes east to the project site. Figures 1 and 2 show the location of the Mt Weld Rare Earths Project.

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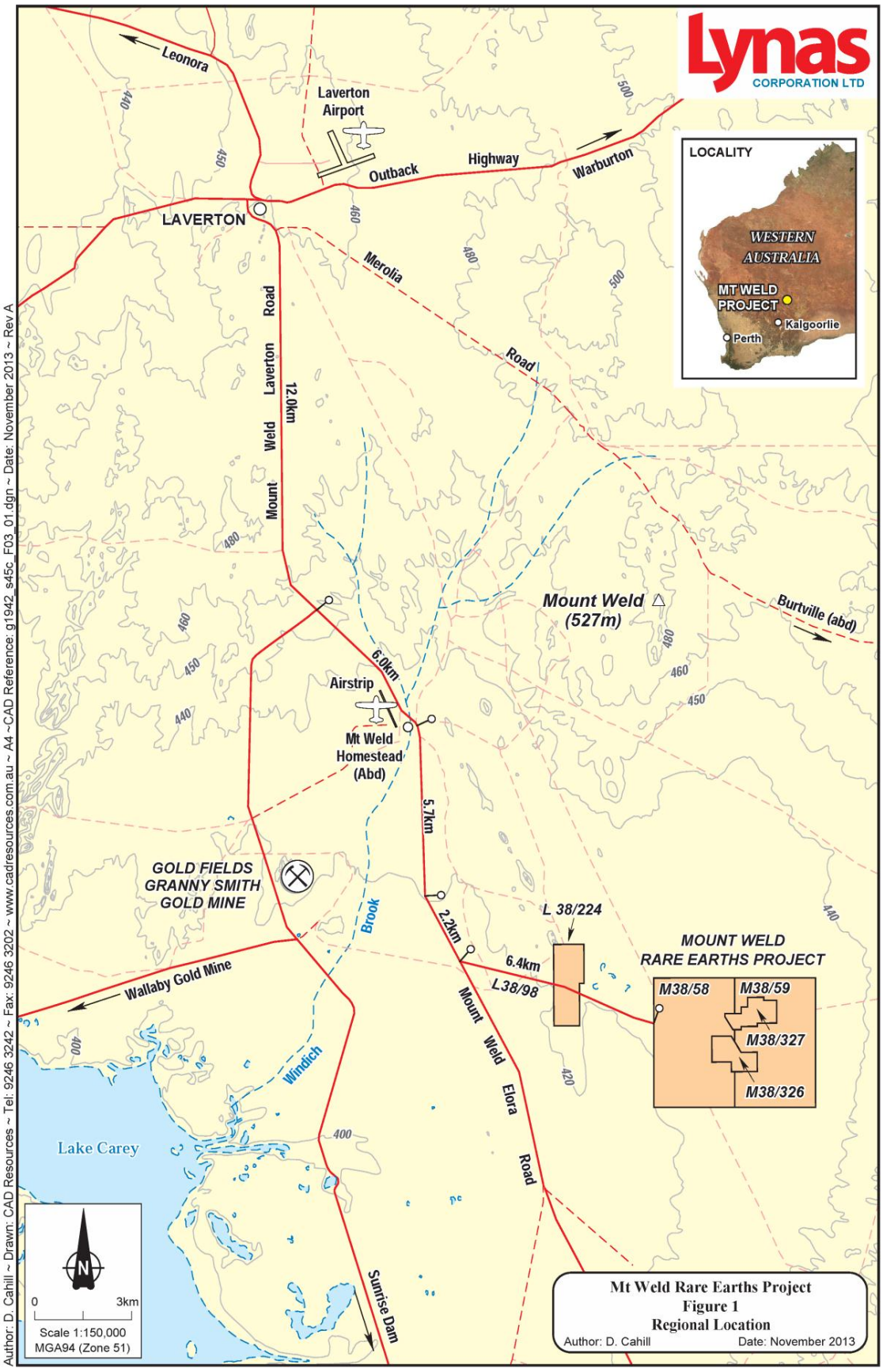


Figure 1: Mt Weld Rare Earths Project Location Plan

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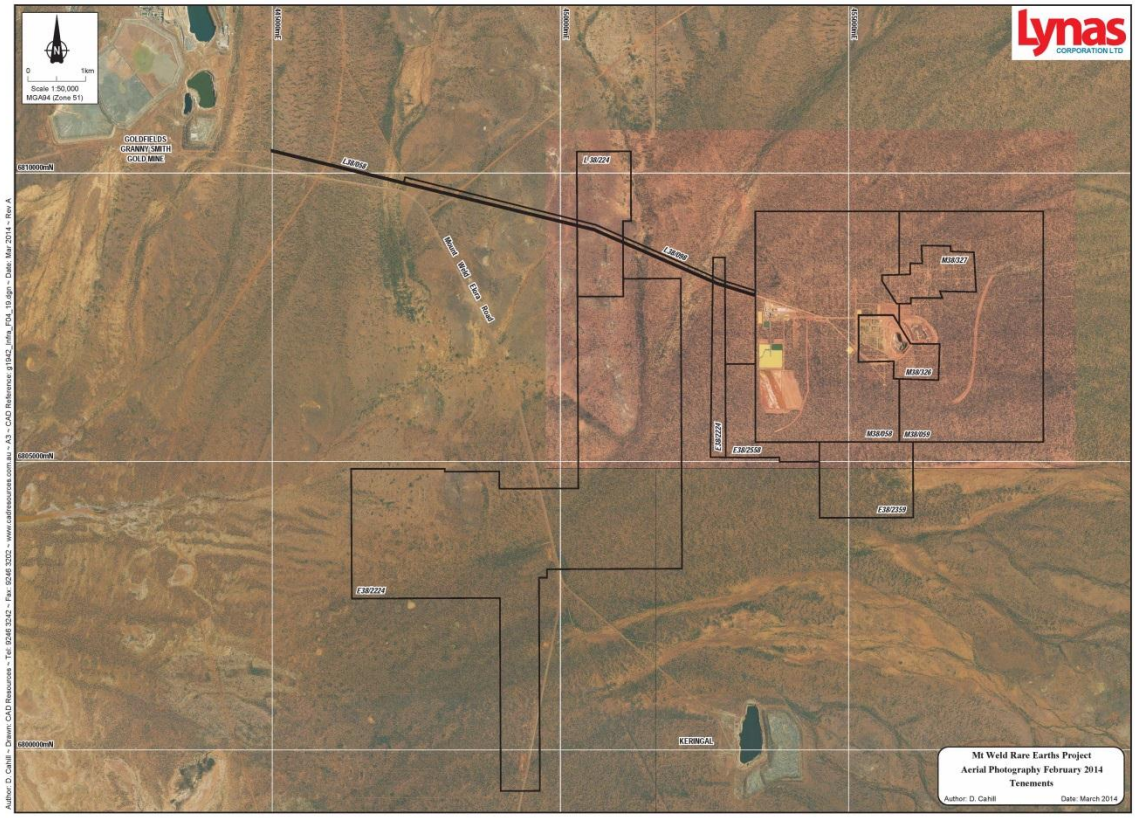


Figure 2: Mt Weld Rare Earths Project Aerial

3. GEOLOGY & MINERALISATION

3.1 Regional Geology

The mining tenements cover a near vertical carbonatite plug known as the Mt Weld Carbonatite (MWC). The MWC has intruded strongly deformed Archean volcanic and sedimentary rocks of the Laverton Tectonic Zone (LTZ) (Gower, 1976; Hallberg 1985). The exploration tenements cover the LTZ formation to the west of the MWC and the rocks are predominantly felsic and mafic volcanic rocks. To the east of the MWC are predominantly mafic and sedimentary rocks. A series of Proterozoic dolerite dykes have intruded the LTZ in the project area with one of these linear dykes also intruding the MWC from the north-west to the south-east.

Subsequent to the dolerite intrusions, there has been a long period of erosion lowering the surface by over 2 kilometres over the MWC and LTZ formations with an extensive drainage system developed over the area by the Late Eocene. Since the Late Eocene the on-set of dry conditions has resulted in these drainage systems to be filled with clay. One of these clay filled drainage systems covers a portion of the MWC.

From the quaternary to present day the MWC, the lake sediments, and the surrounding LTZ have been covered by a layer of alluvial gravels and sands washed in by sheet wash from the hills 10 kilometres to the east. This layer of alluvium is approximately 25 metres thick in the project area.

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3.2 Local Geology

The MWC is a sub-vertical pipe like intrusion approximately 3.5 kilometres in diameter. The primary carbonatite rock is medium grain sovite (calcitic carbonatite) with lesser beforsite (dolomitic carbonatite) with minor zones of silico-carbonatite. Locally apatite and magnetite may dominate the carbonatite phase. Within the MWC is approximately 20-30% xenolithic material particularly around the margins where it comes in contact with the LTZ rocks. The xenolithc material varies from being almost totally digested flow bands through to hard edged metasomatised boulders. Most of the xenolithic material has a mafic origin.

The MWC has had the development of a complex regolith over it between the end of the Permian glacial period and the Late Eocene. The regolith contains a number of minerals of economic importance with possible exploitation of the Rare Earth Oxides (Lanthanides and Yttrium), Rare Metals (Niobium, Tantalum and Titanium) and Phosphate. See figure 3 for local geology and the deposits that have been defined by previous drilling. The regolith is layered with an apatite-manganese rich zone at the bottom, a goethite rich saprolite above the apatite- manganese zone that grades up into an iron-silica rich nodule zone and then the surface is a silica-iron rich cap-rock. See Figures 4 for a diagrammatic cross-section of the local geology.

Cutting into the carbonatite regolith are areas of clays that in-filled the drainage systems. The clays are plastic smectite clays (montmorillite) derived from the surrounding LTZ rocks. In some areas the clays have been replaced with calcrete by percolating calcite fluids. It is probable that the calcite in the fluids is derived from the carbonatite. In the upper part of the clays iron leaching from the alluvium above has created large nodules of haematite in the upper 5 metres of the clays. In some areas dense zones of iron pisolites have collected on the surface of the clays and were the final stage of deposition in the drainage system.

The final geological unit deposited in the tenement area is the alluvium washed in from the hills in the east. The alluvium is 20- 25 metres thick and consists of iron and quartz rich sand and gravel. The alluvium has been laterised during its deposition with the surface being quite hard.

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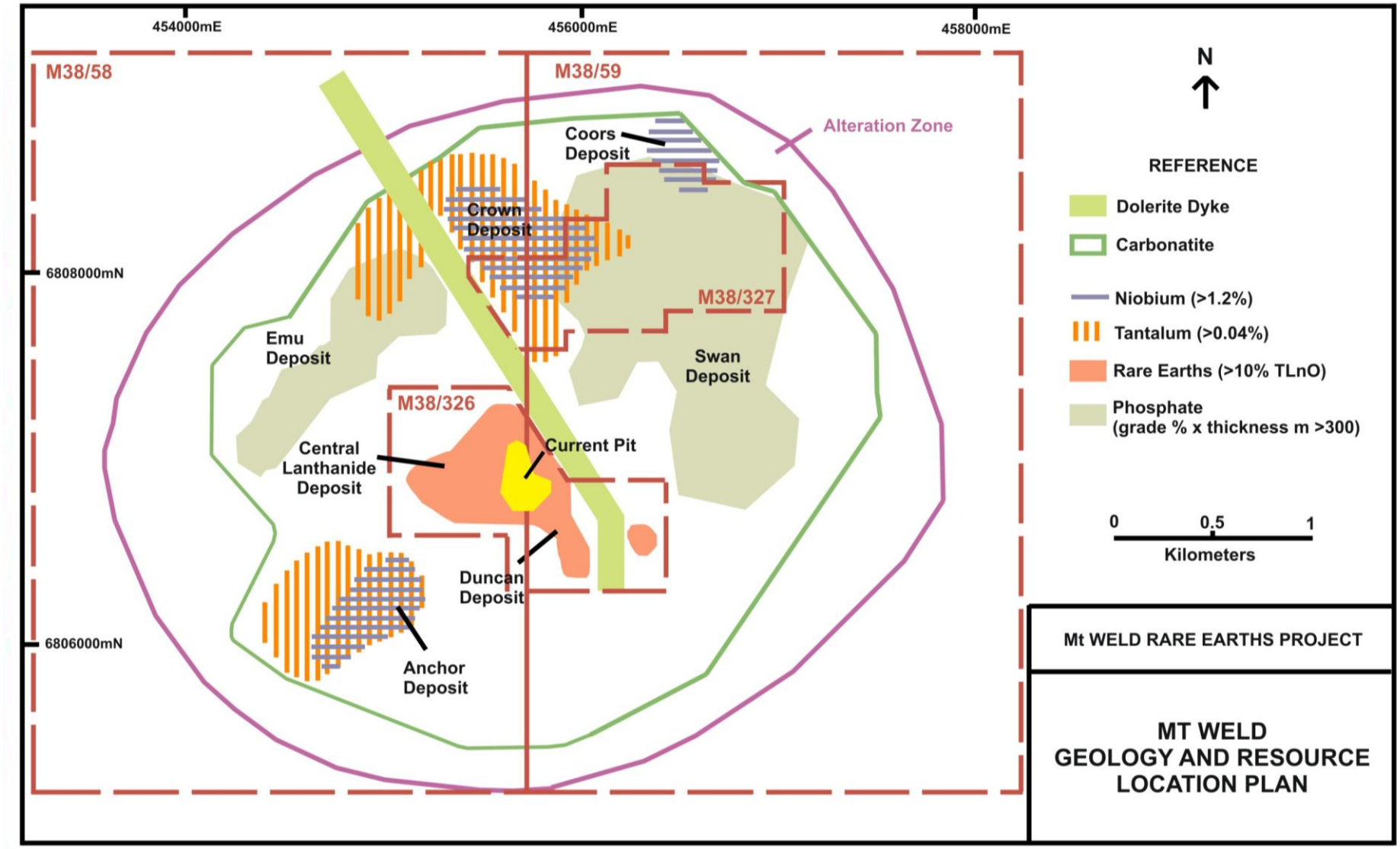


Figure 3: Local Geology & Mineral Resources

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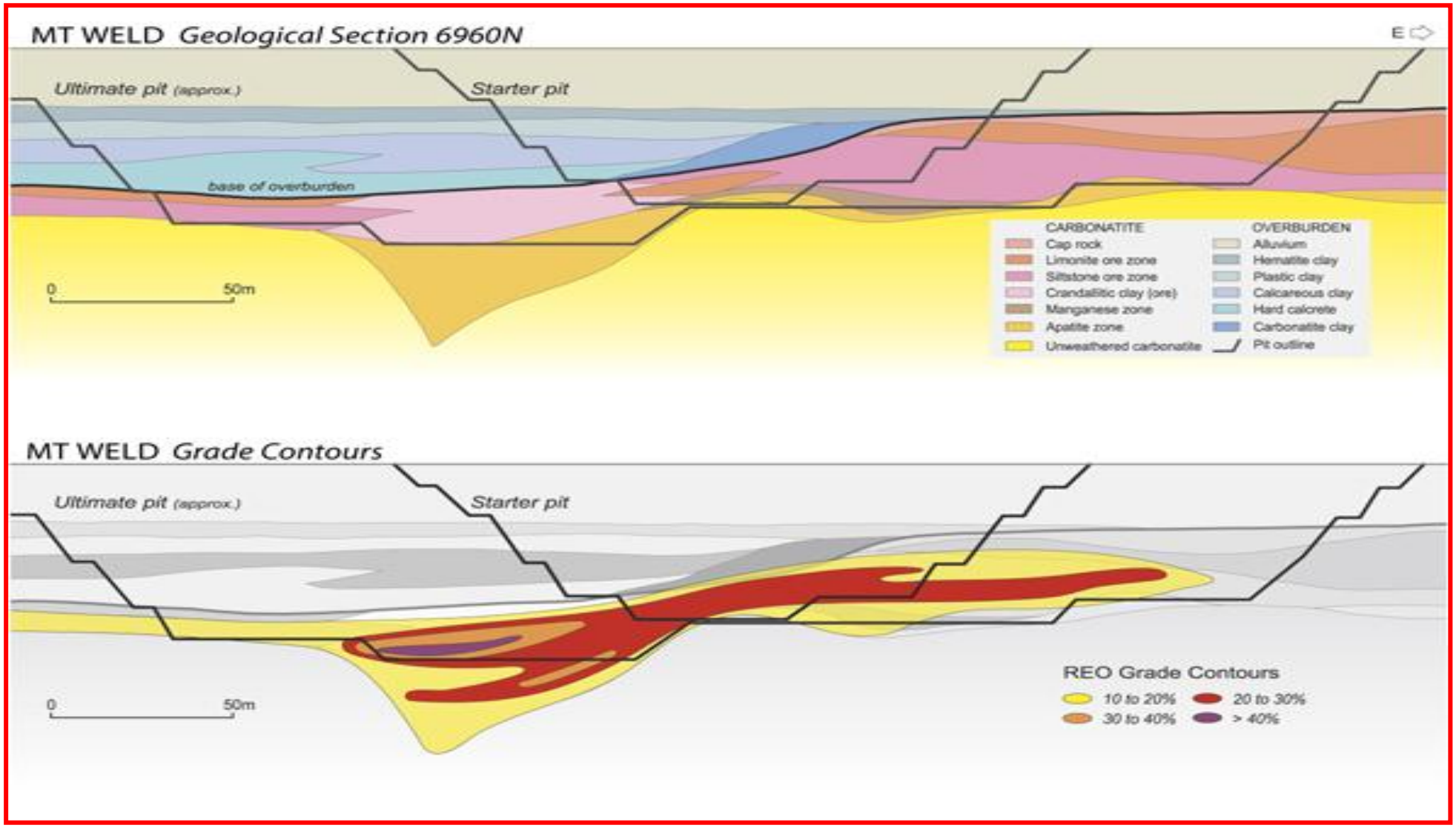


Figure 4: Cross Section of Regolith Geology & REO Grades in Pit Area

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3.3 Mineralisation

The carbonatite regolith is a source of a number of different zones of mineralisation. In the centre of the MWC a high grade Rare Earths Oxide (REO) deposit known as the Central Lanthanide Deposit (CLD) has been defined in the goethite rich saprolite, iron-silica nodules and the apatite rich layers of the regolith. The rare earth oxides are found predominantly in monazite with minor cerianite, florencite and xenotime. The high grades are believed to be caused by the bulk of the REO's remaining in the regolith over the central portion of the MWC whilst the more mobile carbonate minerals were removed by fluids during the weathering process. The bulk of the REO's are the light REO's but on the eastern side of the CLD there is a higher concentration of xenotime and florencite. Hence a higher concentration of heavy REO are present in this area. At present the first campaign of mining has occurred on the high grade light REO's and the ore has been stockpiled for processing in a floatation plant which began operations in May 2011. The heavy REO zone was defined by drilling in 2009 and has been called the Duncan Deposit to distinguish it from the light REO material. The entire carbonatite regolith contains some REO's usually between 0.5 and 4% REO.

In the north-eastern and south-western portions of the carbonatite regolith are rare metals deposits known as Anchor, Crown and Coors containing niobium, tantalum and titanium. The rare metals are contained within the same layers of the regolith as the REO's in the CLD. The element with the highest economic significance within the rare metals is the niobium but the others combined with the niobium has in the past been investigated in metallurgical studies to see if all the minerals can be exploited economically.

The other zone of mineralisation that could possibly be exploited economically is the phosphate in the apatite. The phosphate is in high concentrations in the apatite rich layer throughout the entire carbonatite regolith. Previous owners of the tenements carried out a feasibility study on mining and processing the phosphate to make fertiliser from the Swan and Emu Deposits in the northern portion of the carbonatite regolith.

4. GEOLOGICAL ACTIVITIES

4.1 Introduction

During the reporting period the main geological work carried out was a detailed assessment of E38/2224 to target potential gold and rare earth mineralisation to submit for the extension of tenement application. The other geological worked completed during the reporting period included 2012 JORC resource model and reserve estimate for the CLD and DD deposits.

Based on the updated pit designs generated for the reserve estimate, detailed short-term mining planning was completed during the reporting period. The next mining campaign is scheduled to commence in January 2017, targeting extraction of ore material within the existing Mt Weld pit using a small 30 tonne articulated dump truck fleet.

4.2 Exploration work on E38/2224

An extensive handover session with the previous Lynas geology staff and desktop study was completed during the reporting period on E38/2224. The results of this work identified that there are three potential economically significant targets for anomalous gold and rare earth mineralization located on the licence. These exploration targets warranted further investigation and an extension of the exploration license were submitted to the DMP in order to conduct these investigations. Two drill programs have been designed to test these three targets over the next two years. Figure 5 shows the location of the exploration targets on exploration lease E38/2224.

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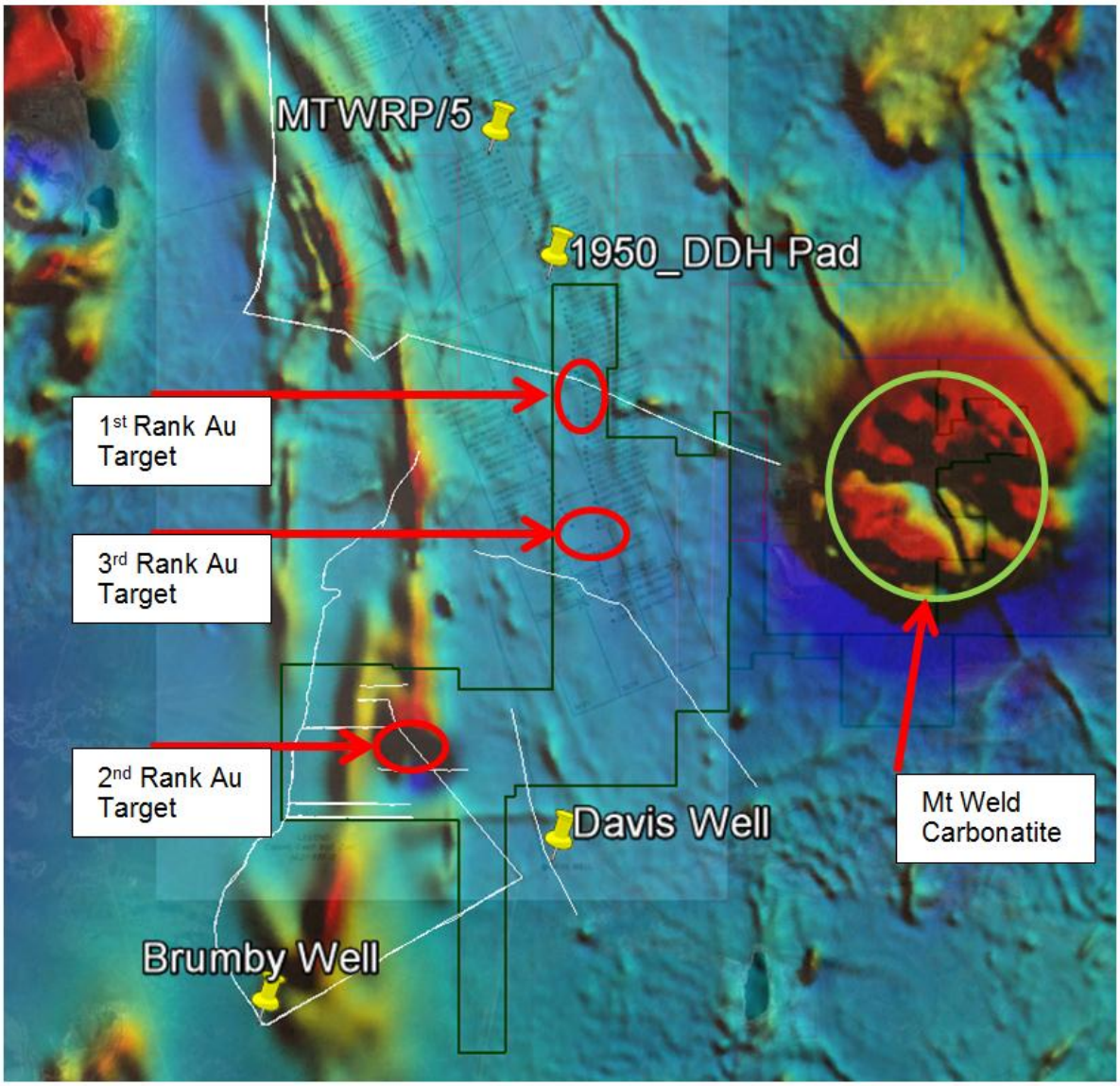


Figure 5: Exploration target ranking location plan

4.2.1 Exploration completed on E38/2224

A significant change to the Lynas geology department occurred with the cutback of all full time staff in February 2015. A site based staff member commenced employment in May 2015 which involved management handover, ground familiarisation and field investigation of potential targets.

Detailed field mapping in June 2015 of key outcrops within E38/2224 provided added evidence that there was potential gold mineralisation associated with the historic drill holes within the northern part of the tenement. The key outcrop located near the 1st ranked Au target displayed a sheared/brecciated chert and haematite gossan displaying box-work weathering textures of massive sulphide; the average orientation of the gossan ridge outcrops dips 75 degrees towards 100 degrees. The east west historic drill lines are suitable in orientation for future deeper drilling programs as the tracks are roughly parallel to the dip direction.

Field mapping of the same gossanous ridge line within the northern end of E38/2225 shows that the gossan has slightly flexed resulting in the average orientation now dipping 80

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degrees towards 251 degrees; proposed holes within this area are oriented to best intersect this change in orientation.

A large historic drill pad 200m to the northwest of the E38/2224 along the same gossanous ridgeline was identified from its prominent access track and field inspected to help identify the collar ID. Only remanent diamond drilling artefacts and equipment dating the drill hole between the 1950's and 1970's. Extensive mines department research and directly contacting the mines department has failed to identify the hole. Judging from the large size of the drill pad and track; this site was a deep diamond hole targeting the same gossan ridge mineralisation at depth. Historic information from this hole would have been extremely useful for exploration assessment on E38/2224.

GIS compilation of historic drilling, mapping and geophysical information was used to create a broader scope of exploration targets on E38/2224. Field inspection of these targets created two secondary targets of interest where historic drilling has not adequately tested potential mineralisation.

4.2.2 Approved Program of Works Drill Program on E38/2224

A Program of Works (PoW) ID 56154 targeting the 1st ranked Au target was submitted to the DMP and approved during the reporting period. A remediation and monitoring plan of the subsequent site works has been proposed between the Environmental and Geology departments at Lynas. The key finding is that ground disturbance associated with drilling is disproportionally associated with access tracks that have been seen to have limited recovery post remediation due to disturbed soil profiles and drainage patterns. The proposed scope of works plans to minimise disturbance of the soil profile and drainage patterns when designing access tracks and drill pads, especially in the elevated ridgeline areas. Post drilling drill pad and access track remediation and environmental monitoring will be implemented to measure the effects of environmental recovery.

Proposed holes 1 to 4 target for both gold mineralisation below the historic gold anomaly and also rare earth mineralisation in the carbonatite dyke that runs parallel to the gossan outcrop. Proposed holes 5 and 6 are located in the northern part of the tenement to test for mineralisation in an area that is parallel to the gossan outcrop but has very limited exploration drilling. Figure 6 shows the location of the approved PoW proposed drill sites on exploration lease E38/2224. A deep diamond hole completed by AMOCO MTWRP/5 that is located 2,500m along the same gossan ridge line showed significant sulphide mineralisation at the base of the hole with the highest recorded gold values for that exploration program. There appears to be a definite gold mineralisation zone associated with the gossan ridge line and the exploration process would be to vector in to locate economic mineralisation.

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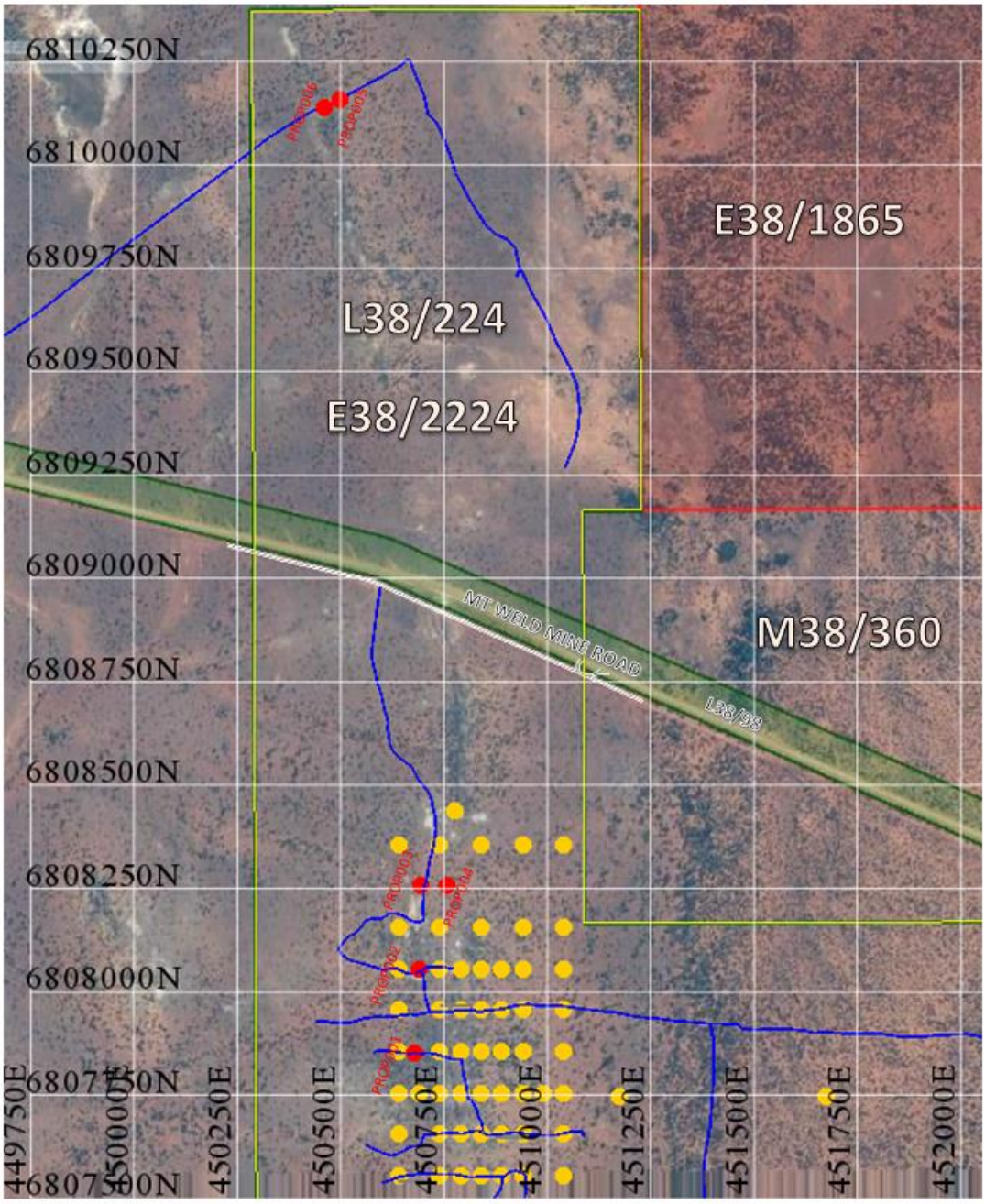


Figure 6: Location Plan of approved PoW proposed drill sites

4.2.3 Environmental Monitoring on E38/2224

The proposed holes have been designed to utilise existing access tracks, established for the historic AngloGold drilling in 2000. It has been identified that the biggest impact associated with historic drilling programs along the ridge areas is the access tracks and not the drill pads themselves. It appears that even a slight change in topsoil profile and drainage patterns has a marked effect on rehabilitation rate. By keeping track clearing to the bare minimum and ensuring minimal disturbance to the soil profile and surface drainage pattern, it is hoped that previous disturbance caused by drilling in the area can be minimised.

The proposed holes are located in an area that is an elevated ridge and natural rehabilitation is very limited because of the thin and erosional nature of the soil profile. To test the outcomes following the completion of drilling an environmental monitoring and remediation program will be implemented. The aim will be to rehabilitate the drill sites to the standard

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requirements on half the sites for a base line and then implement extra measures on the other half of drill sites. A monitoring program to measure if there is any significant improvement to natural rehabilitation between the two techniques. Environmental survey stations will be established on at least four of the rehabilitated sites to measure natural rehabilitation.

It is expected that if gold mineralisation is present in economic quantities it is likely to be at depth and potentially extracted using underground methods via a box-cut and portal mine design. It would also be likely that processing of this ore would occur at the Granny Smith plant which is approximately 8.5km to the east. This would result in minimum environmental impact to the surface profile of the ridge line.

4.2.4 Air photo and Topographic Survey on E38/2224

Lone Star Surveys Pty Ltd completed an air photo and topographic survey using a remote aerial drone in October 2015 to infill the remaining area of E38/2224 that was not covered from the previous detailed survey. The historic aircore and RAB holes drilled by AngloGold between 2000 and 2001 were corrected for poor level control; these holes will also be surveyed to provide more accurate geometry and delineation of the gold anomaly. Figure 7 shows the detailed air photo and topographic survey on exploration lease E38/2224.



Figure 7: Detailed air photo and topographic survey E38/2224

4.3 Central Lanthanide Deposit (CLD) and Duncan Deposit (DD) Resource Modelling

4.3.1 Introduction

The previous resource model was developed in 2011-2012 using all the drill-hole data available for the Central Lanthanide Deposit (CLD) and Duncan Deposit (DD). The model was developed after a large close spaced drilling program on the western side of the CLD was carried out in 2011 completing the delineation of the CLD to indicated status.

Lynas was required to go through a number of due diligences which involved reviewing the previous 2011-2012 REO mineral resources and ore reserves. One of the reviewers carried out a very detailed review of the mineral resources and ore reserves. The detailed review found some mistakes and issues with the model. Overall the review found the ore reserves were reasonable but the model could be improved.

4.3.2 Updated Resource Modelling 2014

Before the external review an internal review of the model found other areas to the external review that could be improved and enhanced. It was decided to redo the model in late 2014 to improve the model from the one used for the ore reserves in 2012. It was also decided to relax the parameters used to define the inferred resources so that the mineralisation in the Duncan Deposit defined by wider spaced drilling could be considered as inferred resources. Geologically the mineralisation defined by the 100x100 metre grid can be considered as continuous enough to be inferred resources.

A JORC 2012 report on the CLD and DD 2014 resource modelling has been compiled and can be viewed in Appendix A

Data used in this resource estimation entails all previous exploration drilling, all drilling results from the 2007 grade control program, 2010 HRE program & the latest 2011 CLD program. The geological model was updated to incorporate lithological information where wireframes were snapped to drill traces. Bulk density data calculated by H&S reconciled well with the first phase of mining and therefore remains unchanged and again used for this resource estimation. Figure 8 shows the 2014 CLD and DD resource model location.

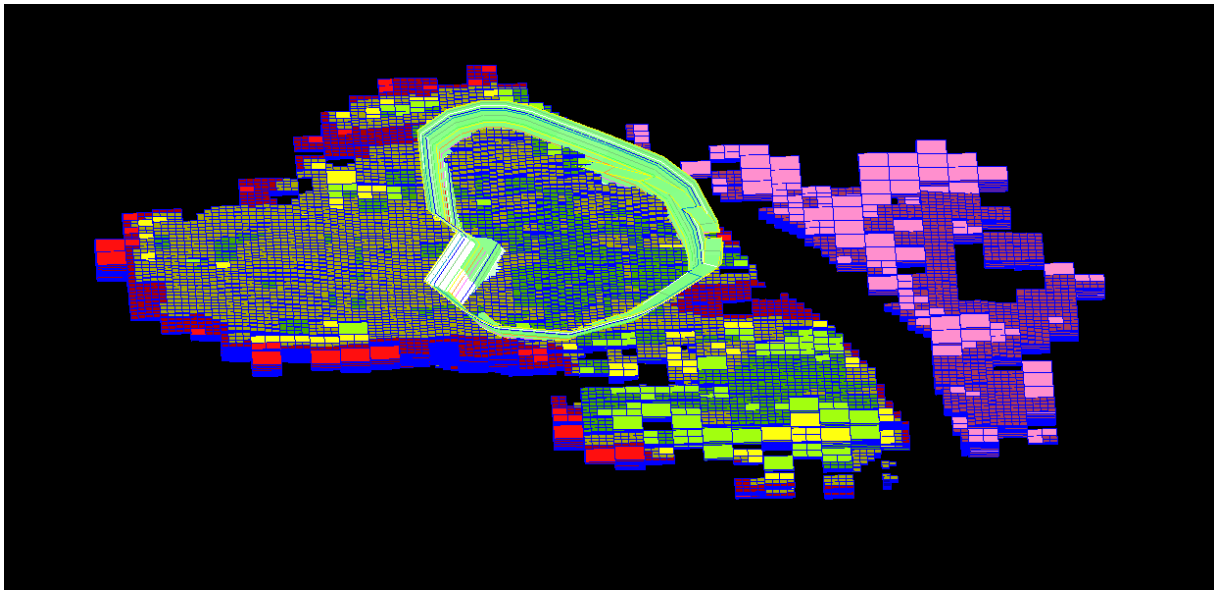


Figure 8: 2014 CLD and DD resource model location

Type	Northing	Easting	RL
Minimum Coordinates	6806400	455200	280
Maximum Coordinates	6807800	456600	430
User Block Size	20	20	2.5
Min. Block Size	5	5	0.625
Rotation	0	0	0

Table 1: Dimensions of 2014 CLD and DD resource model

In total 19 elemental oxides were modelled with the main ones of economic importance being Pr6O11 and Nd2O3 which is part of the calculated rare earth oxides (REO) including Y2O3. Ordinary kriging has been used to do the grade estimations for the blocks. Bulk densities have been sourced from the bulk density work carried out for the CLD. The lithology units are the same and are very likely to have the same bulk densities.

4.3.3 Results of model- Central Lanthanide Deposit

The existing Rare Earths operation is based on a mine plan covering a high Rare Earths Oxide (REO) grade zone in the centre of the Mount Weld Carbonatite, this area is within the Central Lanthanide Deposit (CLD). As of January 1 2015 the CLD has a Resource, above a REO cut-off of 2.5%, of 15.3 million tonnes at an average grade of 9.0% REO for a total of 1.37 million tonnes REO. This is inclusive of the ore reserves. Depletion of the stockpiles have been taken into account since the previous resource estimate. Table 2 shows the updated classification of the Mineral Resource for the CLD. The Rare Earths distribution in the CLD is shown in Table 5.

Central Lanthanide Deposit		
Category	**million tonnes**	**REO (%) ***
Measured	6.4	11.9
Indicated	5.5	8.6
Inferred	3.4	4.1
Total	15.3	9.0

Table 2: Classification of Mineral Resources for the Central Lanthanide Deposit

(* REO (%) includes all the lanthanide elements plus Yttrium)

4.3.4 Results of modelling- Duncan Deposit

The Duncan Deposit resources are located immediately to the east and south of the Central Lanthanide Deposit. Some of the drill holes on the western and northern edges of the CLD have high Dy2O3 grades and it is believed the Duncan Deposit could be a halo around the CLD. For the resource estimation the holes on the east and south were considered the Duncan Deposit and the holes on the northern and western perimeter with high Dy2O3 were considered to be part of the CLD. Further drilling around the perimeter of the CLD is required to delineate the change from the CLD and Duncan Deposit.

As of January 1 2015 the Duncan Deposit has an estimated Resource of 8.3 million tonnes at a grade of 4.7% REO for a total of 0.39 million tonnes REO with a distribution biased more towards high value heavy Rare Earths. A cut-off grade of 2.5% REO has been used for the Duncan Deposit. Table 3 shows the classification of Mineral Resource for the Duncan Deposit.

Duncan Deposit		
Category	**million tonnes**	**REO (%) ***
Measured	3.8	5.2
Indicated	3.4	4.6
Inferred	0.6	3.6
Total	**8.3**	**4.7**

Table 3: Classification of Mineral Resources for the Duncan Deposit

(* REO (%) includes all the lanthanide elements plus Yttrium)

The average REO distribution of the Duncan Deposit is shown in Table 5. The Duncan Deposit is a shallow deposit and could easily be exploited using open cut mining methods. Preliminary metallurgical test-work was carried out on the Duncan Deposit to determine if the rare earths, in particular the heavy rare earth oxides can be economically extracted from the mineralisation. The results were promising indicating the 2.5% cut-off grade is appropriate. Most of the Duncan Deposit is in the measured and indicated category giving a high level of confidence in the resource estimate.

The Duncan Deposit is open to the east, south-west and may form a halo around the CLD with a high likelihood further drilling would increase the size of the Duncan Deposit.

4.3.5 The Combined Central Lanthanide Deposit and Duncan Mineral Resource Estimate

The combined Rare Earths Resource estimate for the Central Lanthanide Deposit and the Duncan Deposit at Mount Weld is 23.9 million tonnes at 7.9% REO, at a cut-off grade of 2.5% REO, giving a total Resource of 1.9 million tonnes REO (Table 29).

Category	million tonnes	REO (%) *
Measured	10.1	9.1
Indicated	8.7	7.1
Inferred	4.5	4.0
Total	**23.2**	**7.4**

Table 4: Classification of the Rare Earths Mineral Resources at Mount Weld

(* REO (%) includes all the lanthanide elements plus Yttrium)

A summary of the REO Distribution of Mineral Resources is shown in Table 5.

Rare Earths Oxides	Central Lanthanide Deposit	Duncan Deposit
Lanthanum Oxide	23.88%	24.87%
Cerium Oxide	47.55%	39.38%
Praseodymium Oxide	5.16%	4.75%
Neodymium Oxide	18.13%	17.89%
Samarium Oxide	2.44%	2.83%
Europium Oxide	0.53%	0.77%
Gadolinium Oxide	1.09%	1.99%
Terbium Oxide	0.09%	0.26%
Dysprosium Oxide	0.25%	1.27%
Holmium Oxide	0.03%	0.19%
Erbium Oxide	0.06%	0.41%
Thulium Oxide	0.01%	0.04%
Ytterbium Oxide	0.03%	0.18%
Lutetium Oxide	0.00%	0.02%
Yttrium Oxide	0.76%	5.17%
Total	100.00%	100.00%

Table 5: REO Distribution of Mineral Resources

4.4 RARE METALS MINERAL RESOURCES

The Rare Metals Resources in the Crown Deposit are unchanged over the period of this report. Table 6 shows the Crown Deposit Rare Metal Resources.

Category	Mt	Ta2O5%	Nb2O5%	TLnO	ZrO	FeO3	P2O5	Y2O3	Al2O3	TiO
Measured	0	0	0	0	0	0	0	0	0	0
Indicated	1.5	0.037	1.4	1.65	0.32	46.5	8.9	0.1	9.94	5.8
Inferred	36.2	0.024	1.06	1.14	0.3	42.6	7.96	0.09	11.3	3.94
Total	**37.7**	**0.024**	**1.07**	**1.16**	**0.3**	**42.8**	**7.99**	**0.09**	**11.3**	**4.01**

Table 6: Rare metals mineral resources

4.5 2015 RESERVE ESTIMATE

4.5.1 Introduction

Updated Ore Reserve works were undertaken by Auralia Mining Consulting Pty Ltd during the first quarter of the 2015-2016 financial year. These works formed part of the Mount Weld Rare Earths Project updated Mineral Resource and Ore Reserve Feasibility-level Study initiated by Lynas. The studies carried out as part of this process by Auralia were limited to surface mining operations and dealt with the Ore Reserve portion of the study only. The work undertaken comprised a series of Feasibility-level Whittle optimisations (including range studies), resultant designs, and a proof of concept life of mine ("LoM") high level schedule to determine JORC 2012 compliant Ore Reserves for the Mt Weld open pit.

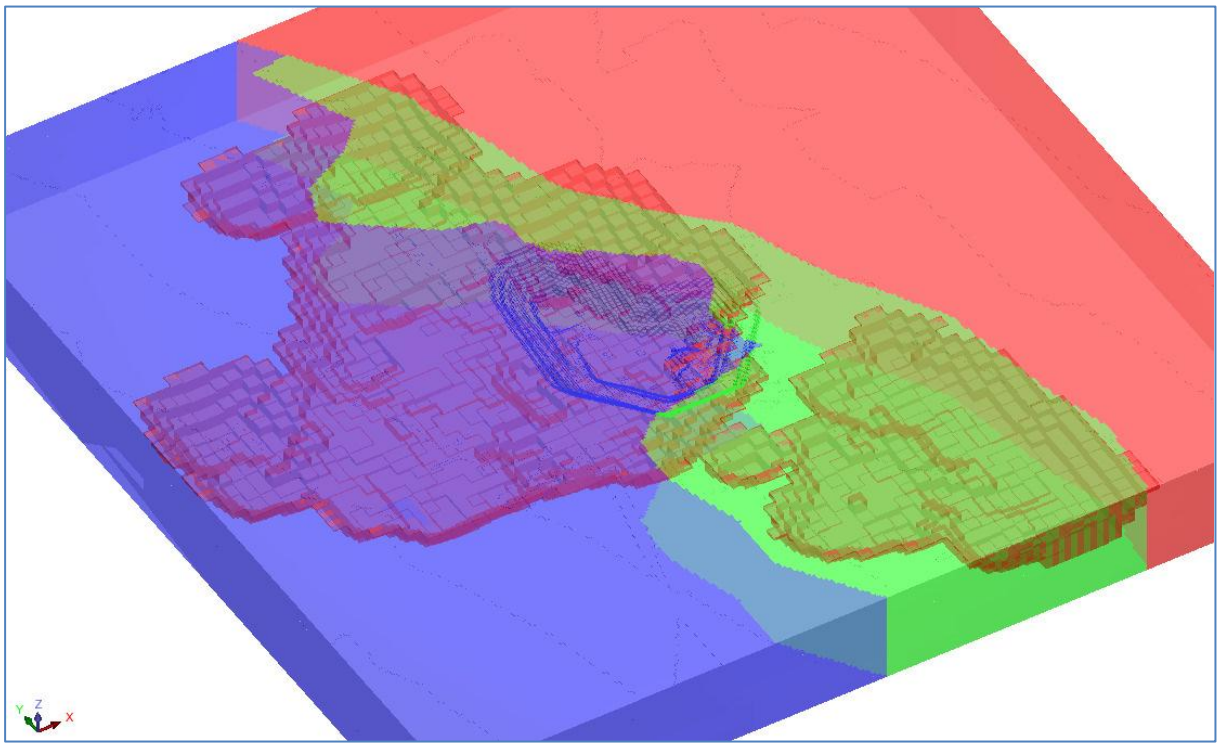


Figure 9: Mt Weld Whittle Model Showing Deposits and Initial Whittle shell

Figure 9 shows the model coloured by deposit name (Blue = Central Lanthanide Deposit, green = Duncan Deposit, red = East Dolerite Dyke Deposit).

The full report on the reserve update can be viewed in Appendix B.

4.5.2 Whittle Parameters

Optimisation runs were conducted in Whittle using mining operating costs, processing, operating and capital costs as supplied by Lynas in the following files:

- Mining operating costs: 20150812_Lynas Open Pit Mining_Whittle Bench Rates_Option 8
- Processing, operating and capital costs: CLD_Whittle Input Parameters_2015_07_03

For detailed calculations of these inputs see Appendix F for internal Lynas report.

A geotechnical site investigation of the existing Mt Weld Pit was conducted by AMC Consultants on 11 September 2015, AMC's scope of work included:

- Site visit to inspect west wall historic failure and review ground conditions
- Desktop review of historic geotechnical data and confirmation of previous wall angle recommendations
- Provide recommendations for remediation of the slope failure to re-establish access to the Mt Weld pit for recommencement of mining

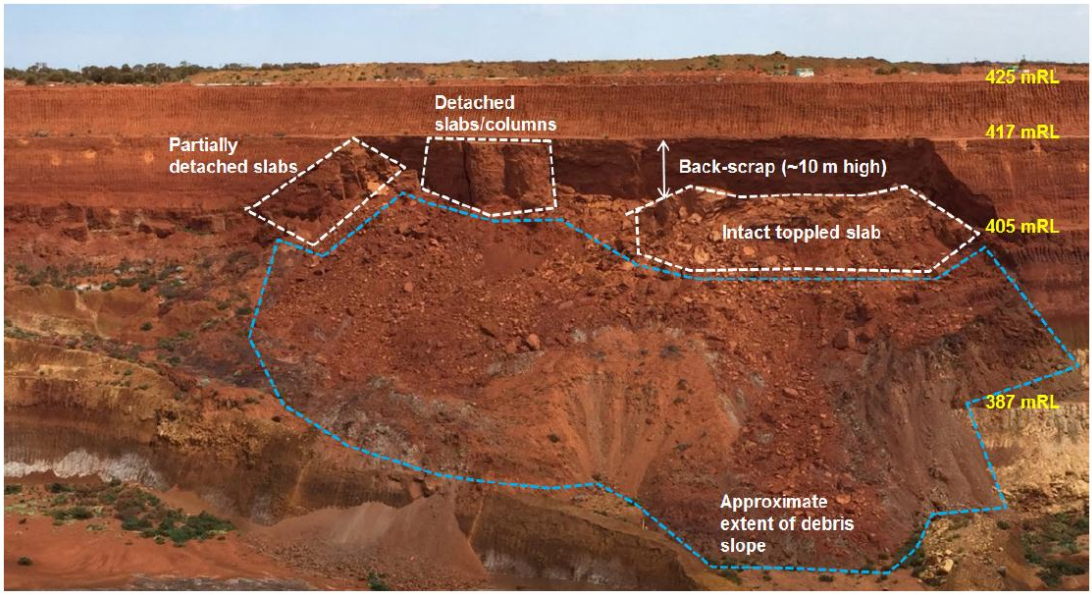


Figure 10: Mt Weld Pit West Wall Failure showing Key Features

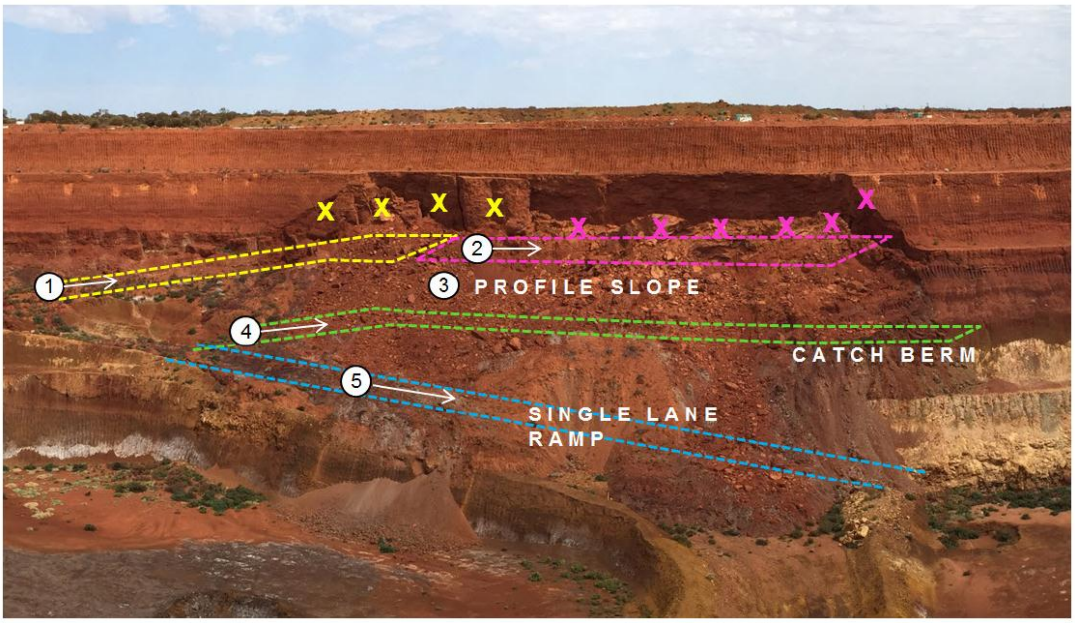


Figure 11: Mt Weld Pit West Wall Remediation Plans

Based on the updated geotechnical review by AMC constants (Refer to Appendix E) the optimisation overall wall angle of 45 degrees was applied, as specified by Lynas in the file: CLD_Whittle Input Parameters_2015_07_03.

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The project is LAMP process-limited. As such it was agreed that the most appropriate parameter for definition of periods in the Whittle optimisation and subsequent scheduling for determination of discounted cash flow ("DCF") and upon which to base the high level LoM would be the stockpile capacity. This was set by the Lynas technical team at a capacity of 1.3Mtpa.

Processing recoveries were based on regression equations supplied by Lynas. The regression equations were based on lithology (Cz Ore and Li Ore used the same equations, while Ap ore used a different set), and used the block model attribute "REO" (a measure of the overall rare earth oxide grade per block) as the determinant variable. The regression equations varied for each of the component rare earth oxide compounds as shown in Table 7.

	Cz/Li Ore	Ap Ore
La2O3	((-0.0414*reo**2+2.8764*reo+35.6269)*((0.0029*reo**2+1.9862*reo+48.1999)/100))/100	((-0.2147*reo**2+8.0112*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
CeO2	((-0.0607*reo**2+3.1468*reo+26.4937)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.2223*reo**2+8.0719*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Pr6O11	((-0.0261*reo**2+2.1899*reo+42.8776)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.1784*reo**2+7.3439*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Nd2O3	((-0.0419*reo**2+2.6202*reo+41.3986)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.2055*reo**2+7.7819*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Sm2O3	((-0.0511*reo**2+2.7341*reo+40.8652)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.202*reo**2+7.5631*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Eu2O3	((-0.0639*reo**2+2.8843*reo+28.7861)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.2575*reo**2+7.6305*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Gd2O3	((-0.0037*reo**2+0.6693*reo+52.2755)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.2344*reo**2+7.9042*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Tb4O7	((0.0444*reo**2+0.918*reo+45.1837)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.6665*reo**2+14.1489*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Dy2O3	((-0.2647*reo**2+9.1557*reo)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.133*reo**2+4.6014*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Ho2O3	((-0.0046*reo**2+1.0685*reo+54.6566)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.065*reo**2+5.4806*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Er2O3	((-0.1412*reo**2+6.0762*reo)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((3.3892*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Tm2O3	((-0.0942*reo**2+5.1667*reo)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((0.156*reo**2+1.5264*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Yb2O3	((-0.0365*reo**2+4.1967*reo)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.1854*reo**2+6.4307*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100
Y2O3	((-0.0505*reo**2+2.4064*reo+46.6734)*(0.0029*reo**2+1.9862*reo+48.1999)/100)/100	((-0.3147*reo**2+8.4875*reo)*(-0.0612*reo**2+2.7936*reo+45.2701)/100)/100

Table 7: Optimisation Mill Recoveries

4.5.3 Economic Cut-Offs

The 4% REO grade cut off is used to define the ore tonnes contained in the final updated Ore Reserve. Sensitivity works with regards to financials suggest that this 4% REO grade cut figure is sufficient to utilise for the purposes of the Ore Reserve, but Auralia suggests that Lynas review it to ensure understanding and justification of its use in future studies.

4.5.4 Mining Dilution and Recovery Factors

A 4% mining dilution factor was applied to the project within Whittle to account for dilution that would be expected to occur during the course of mining due to the mixing of ore and waste material during blasting and excavation processes. A 98% mining recovery factor was applied within Whittle to account for the amount of ore that is lost due to spillage and/or rehandling and also accounts for any unforeseen additional ore losses (ore trammed to the waste dump, etc).

4.5.5 Optimisation Outputs CLD Deposit

The resulting Revenue Factor ("RF") 1 Whittle shell outputs for the Central Lanthanide Deposit ("CLD") area is shown in Figure 12, with ore displayed at greater than or equal to 4% REO grade. Outputs for the base case run are shown in Table 8.

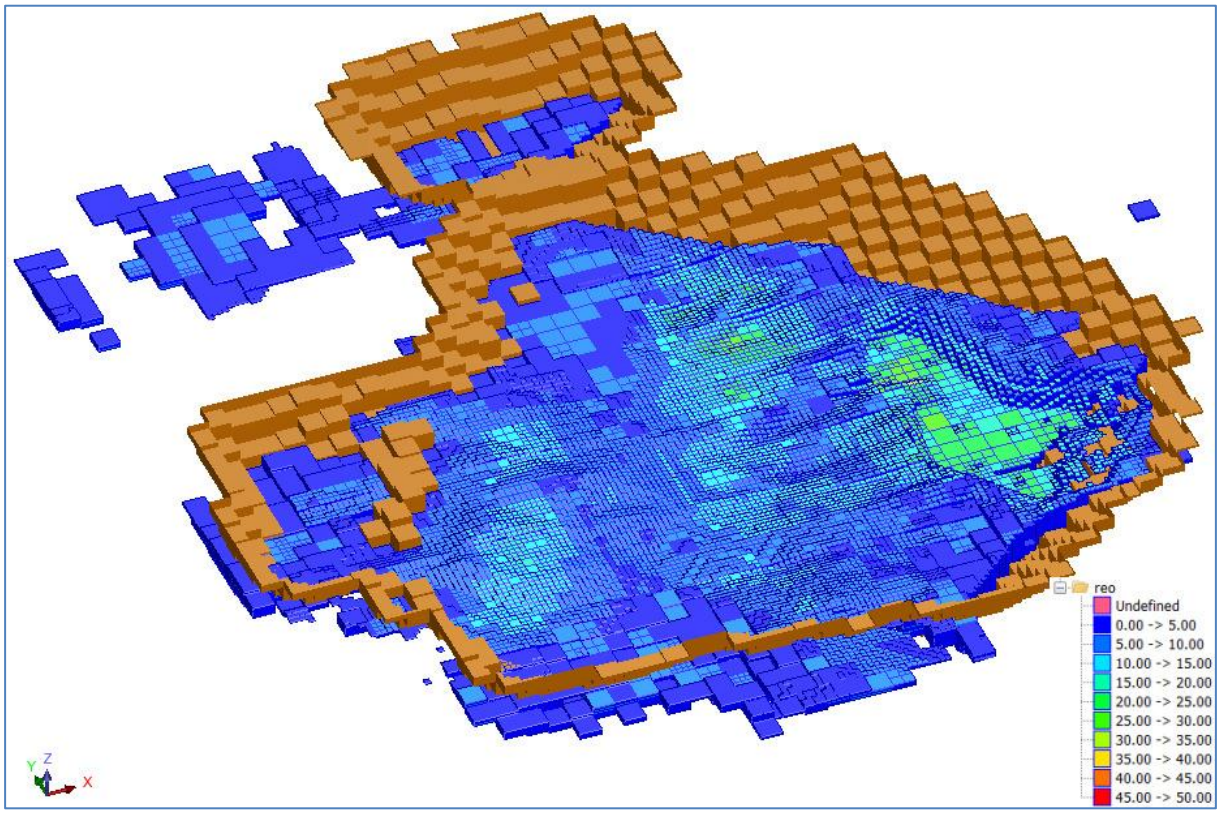


Figure 12: CLD Whittle RF1 Shell, REO >=4% Displayed

	Undiscounted Cashflow (AUD)	$8,418,523,588
	Discounted Cashflow (AUD) [Worst Case]	$5,557,263,580
	Ore Tonnes Input to Mill	10,224,570
	Waste Tonnes	32,977,340
Rare Earth Oxide Receovered (kg)	La2O3	12,829
	CeO2	21,529
	Pr6O11	26,247,500
	Nd2O3	92,284,000
	Sm2O3	12,065,300
	Eu2O3	2,068,826
	Gd2O3	5,265,404
	Tb4O7	329,181
	Dy2O3	999,283
	Ho2O3	136,114
	Er2O3	137,854
	Tm2O3	16,556
	Yb2O3	87,741
	Y2O3	3,067,407

Table 8: CLD Base Case Whittle Optimisation Shell Outputs

4.5.6 Sensitivity Analysis

A sensitivity analysis was performed on the Mt Weld CLD. The sensitivity studies (or range runs) were carried out on the base case Whittle parameters; the analysis displayed standard expected linear shifts in economics based upon variation. The study also evidenced the physical robustness of the CLD to economic and physical variations - despite the fact that almost all of the major variables and data sets have been altered since, the resulting pit inventory table is close to the prior January 2013 Updated Ore Reserve table. The following major variables have been altered:

- Block model
- Mining costs & MCAF's
- Mill recovery equations
- Process cost equations
- Sell prices

While there have been effects on the cash flow relative to those expected, the comparative project physicals have illustrated the robustness of the project in relation to these changes in variables. This can be seen a positive indicator for the project. Refer to Figure 13 for the CLD sensitivity spider graph.

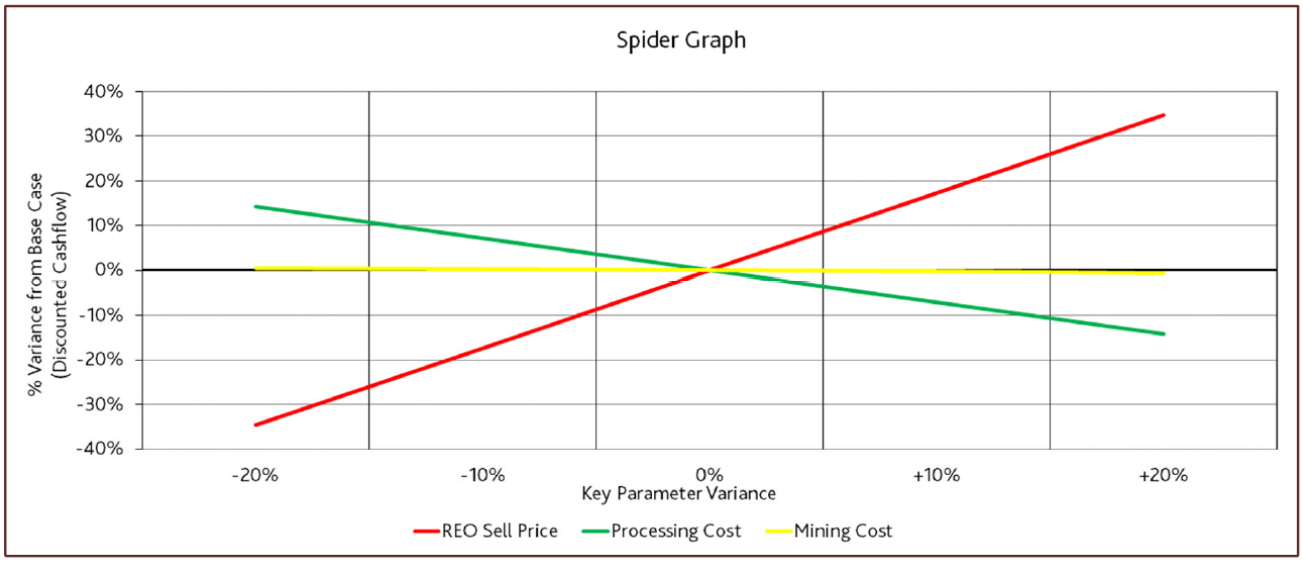


Figure 13: CLD Sensitivity Spider Graph

4.5.7 Life of Mine (LoM) and Designs

As part of the process of formulating an Ore Reserve, a Life of Mine (LoM) schedule must be completed to ensure that practical mining considerations are able to be met. Using the Whittle pit optimisations as a guide to target the most profitable areas first, the Mt Weld LoM schedule was undertaken using approximately 2 year stages, using the constraint of 1.3Mt ore stockpile capacity per year, whilst also taking into account the practicalities of mining sequence and other considerations.

The schedule physicals are shown graphically in Figure 14, while Table 9 shows the inventory of each stage and the associated time periods. Note that all figures in this section are in-situ, with no mining dilution or recovery factors applied. Refer to Figure 15 showing the final LoM reserve pit design and site plan.

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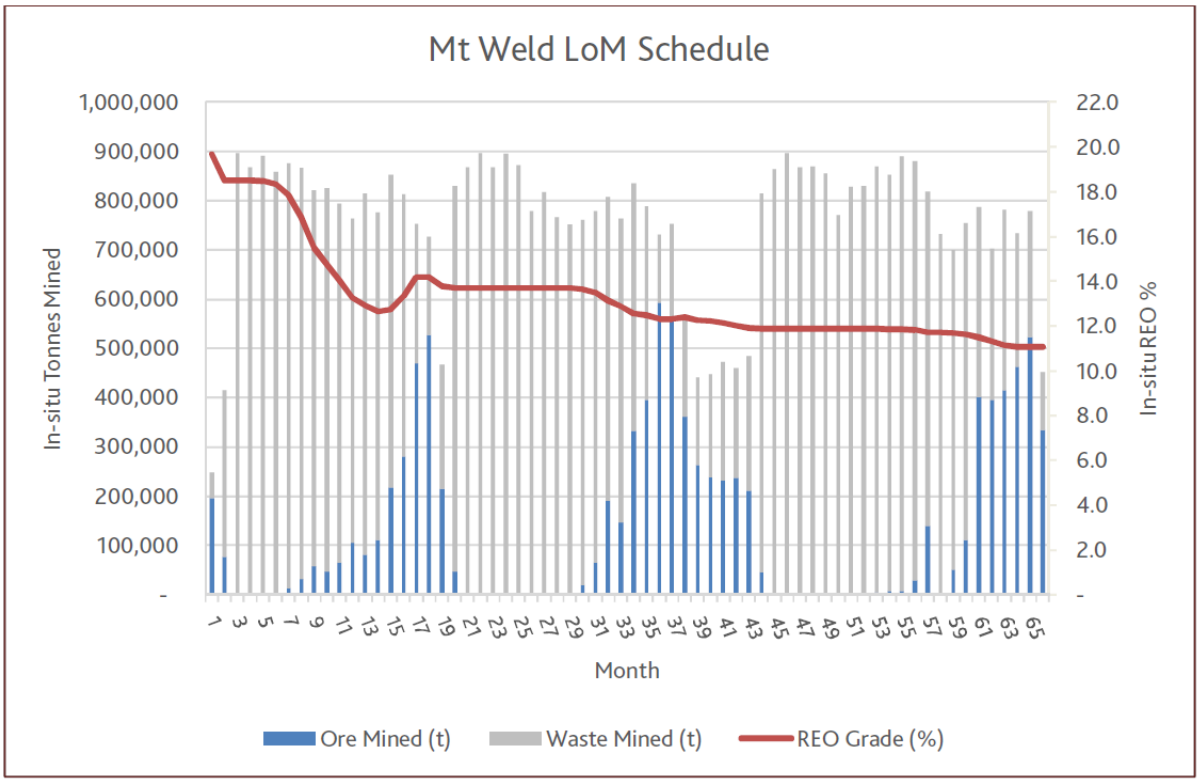


Figure 14: Mt Weld LoM Schedule

Approx Years of Mining (cumulative)	Stage	AP Ore		Li Ore		Cz Ore		Ore Total		Waste
		Tonnes	REO %	Tonnes	REO %	Tonnes	REO %	Tonnes	REO %	Tonnes
0.2	Stg1B	40,728	14.4	12,313	18.0	221,247	19.3	274,287	18.5	124,944
2	Stg2	569,687	10.9	704,527	11.8	996,930	15.4	2,271,144	13.1	5,473,219
4	Stg3	643,483	10.1	716,431	10.0	1,198,144	12.7	2,558,058	11.3	5,872,172
5	Stg4	1,209,109	9.2	338	10.0	137,294	12.6	1,346,741	9.6	1,223,414
7	Reserve	691,828	8.6	940,138	8.8	1,250,620	10.0	2,882,586	9.3	15,355,828

Table 4: LoM Schedule Summary by Stage (all figures In-situ)

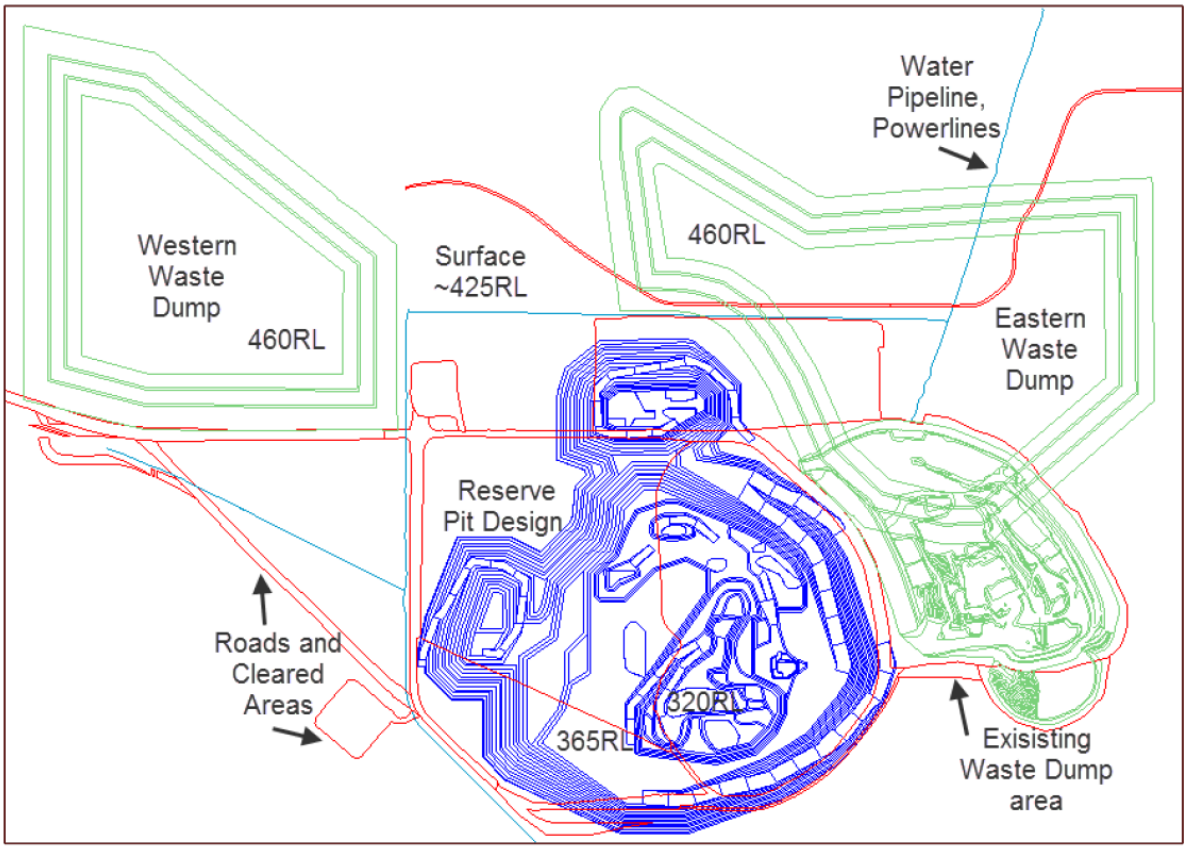


Figure 15: Reserve Pit Design – Site Layout

4.5.8 Ore Reserves

The Ore Reserve study utilised the updated Mineral Resource model for estimating the Ore Reserves contained within the Central Lanthanide Deposit only; the Ore Reserve statement is exclusive of the Duncan Deposit Mineral Resource. The Mineral Resource model was cross checked and depleted to account for historical mining of the Central Lanthanide Deposit prior to use in the Ore Reserves works.

The Ore Reserves were estimated utilising updated modifying factors covering mining costs, processing costs, selling price, selling costs and mill recoveries. Modifying factors covering geotechnical parameters, mining dilution and mining recovery factors were unchanged from those applied in prior studies. Given the Mt Weld project is in operation, and historical empirical data exists for the mining operation, the confidence of the modifying factors applied is high. Mining is intended to be conducted using conventional rigid body truck fleets applying standard open cut methods.

The Central Lanthanide Deposit mineralisation is flat-lying between a depth of 25 and 110 metres with an average thickness of 30 metres and is amenable to be mined using standard excavator and dump truck open pit mining methods. This technique was proven to be suitable after application to the prior mining operation. Campaign mining scenarios are planned to continue to be applied to the project. Given the project is process-limited, mining is planned to be carried out in campaigns on an as-required basis to provide the necessary factored amount of ROM material per campaign to provide feed to the processing plant postmining campaign(s).

A REO base price of US$25/kg was applied to the Ore Reserve study, at a conversion rate of 0.75 AUD/US dollar. This is an estimated medium to long term price for rare earth products. This is 50% of the price assumed in the previous ore reserve statement released in 2012.

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A 240,000 tonne per year flotation concentrator is in operation at Mt Weld to produce a concentrate from the Central Lanthanide Deposit ore. Mill recoveries and processing costs applied to the pit optimisation works have been derived via a combination of empirical data resulting from current operations and a large quantity of process development test-work.

A series of Whittle shell optimisations (including sensitivity analysis) were completed as part of the updated Ore Reserve works. The resultant final Ore Reserve was based on the base-case Whittle optimisation run conducted on the JORC-Classified Measured and Indicated Mineral Resources only, utilising independently supplied mining operating costs, and all other applicable modifying factors, followed up with a final pit design.

Mining costs used for the pit optimisation were sourced from recently let tenders for similar size open pits. Processing and transport costs are current costs of the plants still at current capacities adjusted to expected levels when plants are at the designed capacity.

As a result of the above model changes, modifying factor updates and pit design re-interpretation, the total Ore Reserve tonnage has immaterially increased in size, with a comparative immaterial reduction in REO grade in comparison to the prior JORC 2004 Ore Reserve released in 2012. The updated Ore Reserves at the Central Lanthanide Deposit are 9.9Mt @ 10.8% REO for a total of 1.08 million tonnes of contained REO.

A summary of the Ore Reserves resulting from this study is shown in Table 10.

	PROVEN ORE RESERVE			PROBABLE ORE RESERVE			TOTAL ORE RESERVES		
Source	Mt	REO %	Contained REO ('000 tonnes)	Mt	REO %	Contained REO ('000 tonnes)	Mt	REO %	Contained REO ('000 tonnes)
Open Pit	5.2	11.7	608	4.2	9.3	391	9.4	10.6	999
Stockpile	0.5	14.4	72	-	-	-	0.5	14.4	72
Total	**5.7**	**11.9**	**680**	**4.1**	**9.3**	**391**	**9.9**	**10.8**	**1,071**

Table 10: Ore Reserves Summary

* Notes for Table 10:

1. Includes all the lanthanide elements plus Yttrium
2. Figures in the table may not sum due to rounding
3. Diluting material in open pits set at 0% REO
4. Ore Reserves calculated under the 2012 JORC code
5. Ore Reserves calculated using Geovia SurpacTM software
6. Only the Central Lanthanide deposit included in the Ore Reserves; no portion of the Duncan Deposit or Niobium Rich Rare Metals Mineral Resources has been included as part of this updated Ore Reserve
7. The above “stockpiles” figure refers to Lynas MPX data of the ROM stocks as at the end of August 2015. Given its status, this stockpile material has been assigned to the Proven Ore Reserves. The figure is not inclusive of any stocks contained on the BOS pads.

5. METALLURGICAL TEST-WORK

5.1.1 Introduction

The key metallurgical test-work activities completed or ongoing during the reporting period included:

- Flotation Collector Trials.
- Heat Recovery from the Flotation Tailings (using a heat exchanger).
- Exclusion of LI ores in the Plant Feed Blend.
- Development of the Tailing Management and Water Treatment System.
- Recirculation of the Cleaner Tailings.

5.1.2 Flotation Collector Trials:

Numerous collector options were screened in the laboratory in 2014 and early 2015. The key objectives were to reduce operating costs and broaden the supplier options. By December 2014, a collector from Flomin had been identified as a viable option (see extract from Dec 2014 monthly report). In early 2014 a batch of the C-9010 collector was ordered and plant trial was completed in July 2015.

The trial was successful (See Appendix C for report).

5.1.3 Heat Recovery from the Flotation Tailings:

The boiler has insufficient capacity in the winter months to heat the flotation slurry to 50 oC. When operating at a lower temperature there is a loss in RE recovery, which was observed in practice in the winter of 2014. After investigations, it was decided to install a free flow plate heat exchanger to recovery heat from the flotation tailings and heat the process water added to the flotation circuit. The heat exchanger was successfully commissioned in May 2015, ensuring that RE recovery was maintained in the winter months of 2015 and reducing diesel consumption. A Reduction in diesel consumption due to Heat Exchanger is shown in Figure 16.

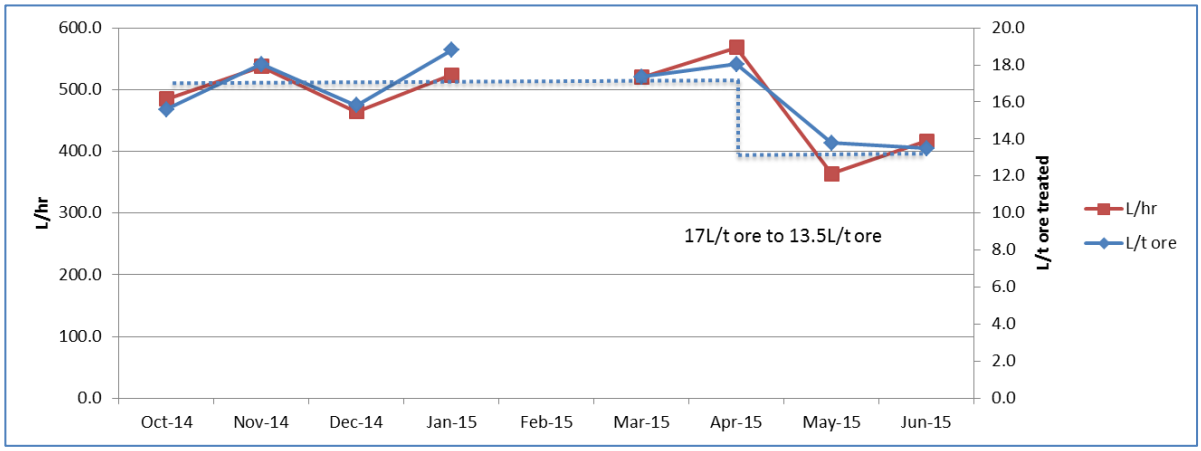


Figure 16: Reduction in diesel consumption due to Heat Exchanger

5.1.4 Inclusion of LI ore in Plant Feed:

The amount of LI ore in the feed blend has been progressively increased other the last 18 month, primarily to delay the next mining campaign. From Sept 14, high grade LI ore has been added to the feed mix. In 2015 lab tests and a plant trial were completed to assess the feasibility of adding medium grade LI ore to the feed blend. June 2015 Plant trial of LI Med Ore Material is shown in Figure 17.

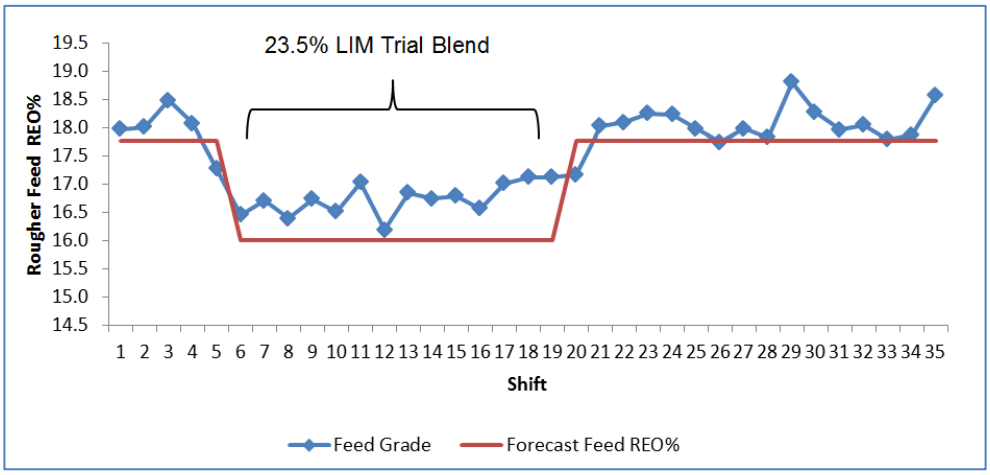


Figure 17: June 2015 Plant trial of LI Med Ore Material

Sample test pits were dug using an excavator on the LIM stockpile. Five pits were dug across the stockpile in attempt to get a fair representation of the entire stockpile. The test pits clearly show two distinct layers; the bottom layer visually resembles typical LI material, with the upper layer much redder and visually much finer iron oxide material. This aligns comments from the Geology Department stating that the stockpile was deposited in two layers. Previous flotation testwork on LIM showed poor flotation performance of the red material. First round baseline tests completed on each test pit varied between each pit, but averaged 69% recovery at 30% REO concentrate grade. Figure 18 shows the LI Medium test pit.

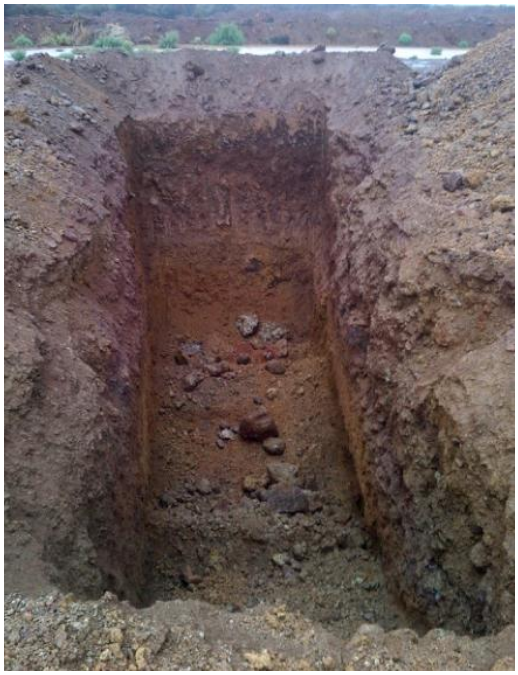


Figure 18: LI Medium test pit

The next phase of flotation testwork is focusing on blends of the better performing sections of the LIM stockpile with the current mill feed blend. It may be possible to remove the “redder” top layer of the LIM stockpile and only treat the better performing lower layer of the stockpile in a blend. This requires further investigation.

Work will continue over coming months to assess the viability of LIM and options for introducing into the feed blend once the constraint of tailings storage is rectified.

6. ENVIRONMENT

6.1.1 Introduction

The key environmental activities completed or ongoing during the reporting period included:

- Internal independent environmental compliance audit occurred during first quarter of 2015.
- Updated version of Mine Closure Plan to DMP in March
- Independent audit of Tailings Storage Facility (TSF1)

6.1.2 2014 Internal Environmental Compliance Audit

Mt Weld Project is audited externally annually by MWH during first quarter for environmental compliance. The focus points noted during the audit that were complied with and had adequate system support within the audit include:

- Water monitoring – groundwater monitoring was conducted in compliance with the conditions identified in legislative documents as well as the commitments made under the proposals and applications.
- The Environmental and Metallurgy Departments have good control over the water monitoring data and keep registers to track any anomalies in the data. The data is reviewed monthly in most cases which ensure a quick response to any outlying data.
- There are some recommendations regarding surface water monitoring and management around discharge from site and the quality of water in the plant run off pond; however the site is generally well managed with regards to contamination issues with the installation of diversion drains.
- Flora management requirements are complied with following the revision and implementation of Animal Handling and Trapping Procedure as well as ongoing monitoring of impacts upon vegetation health and fauna habitats.
- Radiation management – the Radiation Safety Officer was very knowledgeable about the requirements of the Radiation Management Plan and despite the RMP requiring review I compliance was obtained with the conditions and commitments of this document.
- Tailings Management – the development and implementation of a revised and updated TSF operating manual for the existing TSF as well as the development of a new TSF 2 operating manual for both the existing TSF and well as the new TSF 2 have assisted with ensuring compliance against tailings management requirements.
- Inspections – the inspection schedule and regime is complied with. The utilization of STEMS as a tracking register for both the scheduled inspections and actions from the inspections ensures that data is tracked and actioned upon by the appropriate personnel.
- Dust management - the dust management on site was observed to be efficient and well known and meets compliance requirements. The Maintenance department, Health and Safety department, Radiation Safety Officer and Environment department. All departments identified dust management as a significant part of their inspection program and were all knowledgeable about the requirements for dust management in

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particular around working areas and with the working stockpiles. Dust generation and wind conditions are not documented and it is recommended that during crushing campaigns the current inspection checklists undertaken by the Process Department be updated to document wind conditions and any dust management efforts required.

To review the internal environmental audits conducted by MWH refer to Appendix H for report.

6.1.3 Key Updates to the Mine Closure Plan

Mt Weld submitted an updated version of the Mine Closure Plan (MCP) to the DMP in March 2015. The updated version contains closure objectives for TSF2 and the new waste rock landform that will be created from mining campaign 2. The second mining campaign will utilise waste overburden to progressively rehabilitate the existing waste rock landform as per requirements outlined in mining proposals and the mine closure plan.

To review the MCP submitted to the DMP see Appendix G for report.

6.1.4 Independent Audit of TSF1

Independent consultants Hatch was engaged to conduct the 2014 annual inspections of the Mt Weld operating tailings storage facility (TSF1). The site inspection the TSF1 was conducted on 26th February 2014 with the final report generated by late March 2014. See Appendix I for report.

Key findings from the report include:

- Excess water consumption and accumulated water storage in TSF1
- Subaqueous rather than sub-aerial tailings deposition
- Reduced consolidation density casing premature consumption of storage capacity

Refer to next section on water management for company actions ongoing and recently implemented to address the TSF1 water usage.

7. WATER MANAGEMENT

Lynas has been investigating tailings dewatering and water recycling options for a number of years (Tailing Management and Water Treatment System). Decant water is recovered from the tailings storage facility (TSF) and recycled to or reused in flotation plant. The originally installed plant failed to meet the design objectives, leading to an accumulation of water in the tailings storage facility, which hampered the drying of the tailings. The tailings need to dried to 30% moisture to maximise storage in the TSF and meet closure requirements.

There are/were three components to the project:

a. Evaluation of tailings dewatering options.

b. Decant water clarification and filtration.

c. Upgrades to the existing RO plant to allow processing the clarified and/or filtered water.

A pilot plant trial of a dewatering option using a screw press was completed in April & May 2015 (See Appendix D for report). Although the screw press trial was successful, the operation has decided to continue to use Enhanced Tailings Dewatering (ETD) for dewatering.

A number of clarification, filtration and RO investigations have been completed in the reporting period including Membrane Futures tests of membrane fibres to increase permeability and lower TMP increase rates and Ishigaki polishing filter trials. The operation has a working flow sheet to recycle water from the TSF, but further work is required to optimise the cleaning regimes for the ultrafiltration and RO stages and expand the capacity of the water retirement plant.

A summary of the Monthly TSF Water Recycling Rates is shown in Figure 19.

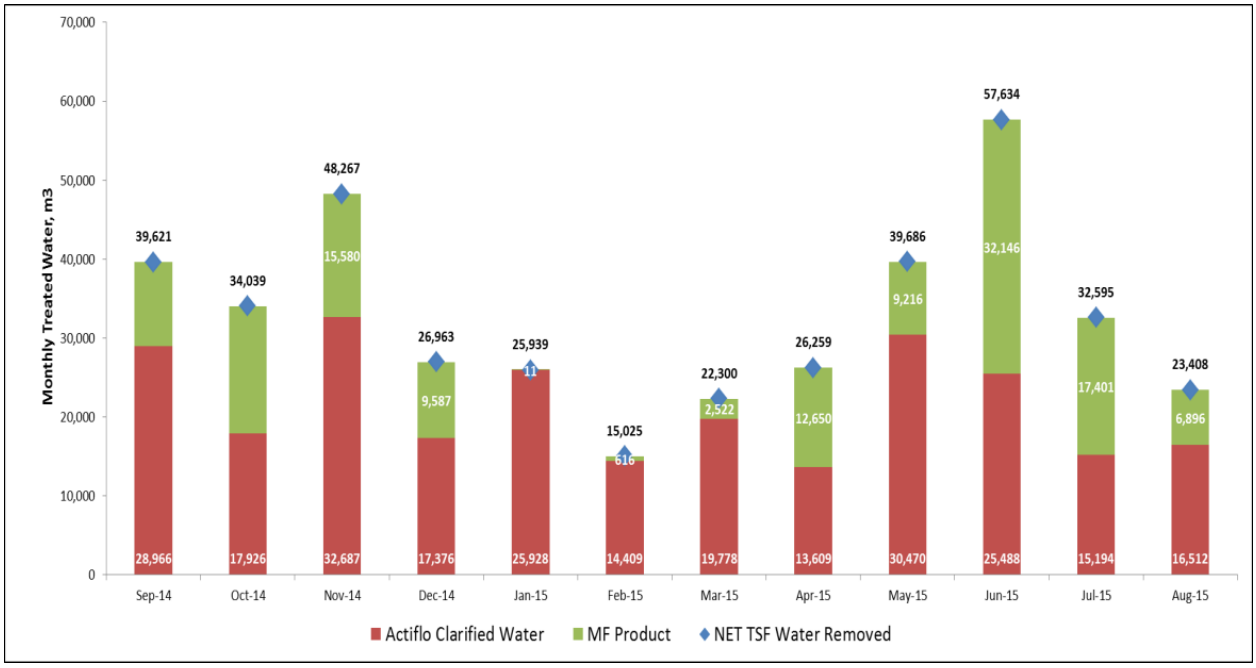


Figure 19: Monthly TSF Water Recycling Rates

8. MINING AND PROCESSING

During the reporting period no mining has been carried out. The only activity within the Mt Weld open pit involved a rip test in October 2015 on the current pit floor using a D10 dozer.

The flotation concentrator for extracting a rare earth concentrate continued operations at Mt Weld on a campaign basis to match the Malaysian cracking production. For the reporting period the flotation plant had milled 111,227 tonnes of ore to produce 36,784 tonnes of concentrate containing 14,213 tonnes of REO.

A number of issues have been identified with the water balance for the concentrator and tails storage facilities (TSF) resulting in the TSF filling up a lot quicker than expected. To alleviate these issues a considerable amount of work has been carried out on designing a system to de-water the tails and increase the size of the TSF. During the reporting period a second TSF has been constructed to increase the tails holding capacity.

8.1.1 D10 Dozer Cross Ripping Trial

As part of the mine planning for the next mining campaign a field test was conducted in late October 2015 on the Mt Weld pit insitu ore material to test if the material was amenable to cross-ripping and then a free dig mining strategy. A free dig mining option compared to drill and blast will save a considerable amount of cost during the next mining campaign. A Caterpillar D10 dozer onsite for the TSF2 construction was commissioned to conduct six rip lines approximately 50m long to 1.0m depth along the current floor of the Mt weld open pit. Table 9 shows the results of the Mt Weld pit rip lines. From the field test it was calculated that 1 D10 dozer could rip approximately 3,000m per hour of operation.

Line	Direction	Start (sec)	Finish (sec)	Time (sec)	Distance (m)	Rate (m/sec)	Rate (m/hour)
1	E_W	6	66	60	46	0.8	2,760
2	N_S	6	83	77	60	0.8	2,805
3	E_W	7	80	73	60	0.8	2,959
4	E_W	4	60	56	40	0.7	2,571
5	E_W	0	90	90	90	1.0	3,600
6	N_S	3	56	53	50	0.9	3,396
Total		**26**	**435**	**409**	**346**	**0.8**	**3,045**

Table 5: Mt Weld Pit Floor D10 Rip Lines

8.1.2 TSF2 Construction

Construction of the Tailings Storage Facility (TSF) 2 commenced at the end of July 2015 after receiving all the required clearing and construction DER/DMP approvals. The new tailings dam is located immediately west of the existing TSF. Hatch Consulting (Perth) was contracted for project management the TSF2 construction with Centrals Earthmoving Company (CEM) mobilised from Geraldton to complete the earthworks. Merit Lining was commissioned to lay the tailings liner; final completion and demobilisation from site of CEM and Merit occurred in late December 2015. Lynas is currently awaiting final completion and commissioning approvals and expect to be using the TSF2 in early 2016.

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9. FUTURE GEOLOGICAL WORK

During the next reporting period grade control drilling is expected to begin in mid-2016 ahead of the next mining campaign commencing at the start of 2017(Subject to DMP permitting and approvals). The approved Program of Work (Registration ID: 56154) drilling program on exploration lease E38/2224 targeting the gold anomaly at depth is expected to be completed before August 2016. The environmental monitoring of the proposed exploration drill sites on exploration lease E38/2224 is also expected to commence before August 2016 and become an ongoing project.

In the long term it is hoped to develop the Duncan Deposit and Crown Deposit. It is more likely the Duncan Deposit will be developed in the next 5 years rather than the Crown Deposit. To develop the Duncan Deposit more resource definition drilling is required to outline possible mining areas. Further to the drilling and mine planning, a processing procedure needs to be developed for the Duncan Deposit before it is likely to be developed.

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10. REFERENCES

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Shand, B.D., 2015, Mt Weld Rare Earths Project On Exploration WA Licences M38/58, M38/59, M38/326 and M38/327 Combining Reporting C56/1999 For Period November 25 2013 to November 24 2014 (unpublished company report).

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APPENDIX A

Resource Estimation for Central Lanthanide Deposit and Duncan Deposit 2014

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APPENDIX B

Updated Ore Reserve Study 2015

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APPENDIX C

Flowmin C-9010 Plant Trial Results

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APPENDIX D

Screw Press Pilot Trial Summary Report

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APPENDIX E

Mt Weld Geotechnical Review

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APPENDIX F

Ore Reserve Statement Update and Assumptions

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APPENDIX G

Mt Weld Rare Earths Project Mine Closure Plan.0

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APPENDIX H

2014 Internal Environmental Compliance Audit

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APPENDIX I

2014 TSF Geotechnical and Management Audit

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